

Profit From Pills

Pharma and healthcare shine as government pushes access and demand for specialised products soars

BY NEETU CHANDRA SHARMA

TWENTY-NINE PER CENT. Yes. That's the rise in profit after tax (PAT) of India's healthcare sector in FY25. This makes it the second-fastest growing sector after non-ferrous metals in the list of top 10 profitable sectors. No wonder the world's top private equity (PE) and venture capital funds are vying for a share of this fast-expanding pie. The sector has received \$13 billion PE funding over last five years, representing 8–9% of the total PE activity in India, up from 2% in 2018. From Sun Pharma's billion-dollar-plus PAT to Apollo Hospitals' growing margins, the sector has emerged as one of the most important profit engines of India Inc.

RAINING PROFITS

The pharmaceutical industry was a standout performer in FY25, combining growth with resilience. The largest drug maker, Sun Pharma, posted a 13.8% rise in PAT to ₹10,980 crore. Revenues rose 8.4% to ₹52,578 crore, while operating profit jumped 20% to ₹17,237 crore, reflecting strong operational efficiency.

Tausif Shaikh, research analyst at BNP Paribas Securities India, says Sun Pharma's India business is expected to outperform industry growth of 8–10% in FY26, driven by leadership in key therapies, strong brand presence, and higher contribution from chronic treatments. He says the global specialty revenue will grow with the launch of Leqselvi (a treatment of Cushing's disease) and Unloxcyt (targeted therapy used in oncology) and scale-up of existing products. Shaikh says the combined contribution of specialty products and domestic formulations is likely to rise from 50% in FY25 to 52% in FY27, supporting the expansion of EBITDA margins. Dr. Reddy's Laboratories posted a more modest PAT growth of 2.6% to ₹5,725 crore, but revenues surged 16.5% to ₹32,644 crore, driven by its generics portfolio. Co-Chairman and MD G. V. Prasad says the company remains focused on strengthening its base business, delivering pipeline assets, and improving productivity. Cipla reported a 27.3% rise in profits to ₹5,291 crore, supported by cost efficiencies and

steady demand for respiratory and chronic therapies. MD and Global CEO Umang Vohra said in a recent investor call that the company will focus on key markets, building flagship brands, investing in product pipeline and focusing on resolutions on the regulatory front.

Cipla is confident about its FY26 growth trajectory. Aman Goyal, research associate at Axis Securities, says the company aims to accelerate launches in North America, expand margins in South Africa, and strengthen presence in domestic branded prescriptions and trade generics. In emerging markets, it will focus on deeper penetration while maintaining margin stability, he adds.

Cipla has given FY26 EBITDA margin guidance of 23.5–24.5%. Goyal says the company is targeting \$1 billion US revenues by FY27, supported by respiratory, oncology, peptide, and biosimilar launches. Internal biosimilar assets are expected around 2029–30, while GLP-1 therapies could drive domestic growth from FY27, he says.

Other major pharma players also reported healthy gains. Zydus Lifesciences' profits grew 20.4% to ₹4,615 crore, while revenues increased nearly 20.4% to ₹45,681 crore. Aurobindo Pharma posted a 10% rise in profits to ₹3,484 crore. Lupin reported one of the sharpest turnarounds with profits jumping 70.8% to ₹3,306 crore.

Mid-sized companies mirrored this momentum. Divi's Laboratories posted a 36.9%

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